

platform for institutions. The rationale was summed up by Masters: “Global Advisors Bitcoin Investment Fund (GABI) is the only fully regulated Bitcoin investment fund targeting institutions and in adding XBT we are addressing the online retail and professional markets.”²⁹

THE ETI OPTION

Another bitcoin investment vehicle for investors is the *exchange traded instrument* (ETI). ETIs are similar to ETFs in that they are asset-backed securities, whereas an ETN doesn’t have to be backed by the underlying asset. However, ETIs are much less common and are primarily intended to house alternative investments such as futures or options.³⁰

In July 2016, a bitcoin ETI was listed on the Gibraltar Stock Exchange under the symbol BTCETI.³¹ It charges a 1.75 percent management fee, placing it below both Grayscale and XBT Provider, and custodies its assets with Coinbase. While the sponsor and arranger of the ETI—Revoltura and Argentarius ETI Management Limited—are not well known, what is notable is the involvement of the government of Gibraltar and Gibraltar’s regulator, the Financial Services Commission.

It is clear that Gibraltar sees an opportunity and is making a play for itself as a virtual currency hub. Albert Isola, Gibraltar’s Minister for Financial Services and Gaming, said, “We continue to work with the private sector and our regulator on an appropriate regulatory environment for operators in the